

Notations :

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

Change Font Color :	No
Change Background Color :	No
Change Theme :	No
Help Button :	No
Show Reports :	No
Show Progress Bar :	No

Managerial Economics

Section Id :	640653134593
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	12
Number of Questions to be attempted :	12
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653374703
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406532041044 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS

(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406536645216.  Yes

6406536645217.  No

Sub-Section Number :

2

Sub-Section Id :

640653374704

Question Shuffling Allowed :

Yes

Question Number : 2 Question Id : 6406532041045 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Quasi-linear preferences are linear in both the goods

Options :

6406536645218.  True

6406536645219.  False

Question Number : 3 Question Id : 6406532041046 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

Marginal utility does not change for a monotonic transformation of the utility function

Options :

6406536645220.  True

6406536645221.  False

Question Number : 4 Question Id : 6406532041047 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

MRS does not change for a monotonic transformation of utility function

Options :

6406536645222.  True

6406536645223.  False

Question Number : 5 Question Id : 6406532041048 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The fraction of quantity tax paid by buyers rises as supply becomes more own-price elastic

Options :

6406536645224. ✓ True

6406536645225. ✗ False

Question Number : 6 Question Id : 6406532041049 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

The fraction of quantity tax paid by buyers rises as demand becomes more own-price elastic

Options :

6406536645226. ✗ True

6406536645227. ✓ False

Question Number : 7 Question Id : 6406532041050 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

A monopolist always produces in the inelastic region of market demand curve

Options :

6406536645228. ✗ True

6406536645229. ✓ False

Sub-Section Number :

3

Sub-Section Id :

640653374705

Question Shuffling Allowed :

No

Question Id : 6406532041051 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (8 to 9)

Question Label : Comprehension

Consider the following game matrix where only the payoff of player 1 is given.

	<i>L</i>	<i>R</i>
<i>T</i>	1	0
<i>M</i>	2	0
<i>B</i>	2	1

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 8 Question Id : 6406532041052 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

M weakly dominates T

Options :

6406536645230. ✓ True

6406536645231. ✗ False

Question Number : 9 Question Id : 6406532041053 Question Type : MCQ

Correct Marks : 0.5

Question Label : Multiple Choice Question

B strictly dominates M

Options :

6406536645232. ✗ True

6406536645233. ✓ False

Sub-Section Number :

4

Sub-Section Id :

640653374706

Question Shuffling Allowed :

No

Question Id : 6406532041054 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (10 to 15)

Question Label : Comprehension

The utility that Anita receives by consuming food F and clothing C is given by $U(F, C) = FC + F$. Food costs \$1 a unit, and clothing costs \$2 a unit. Anita's income is \$22.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 10 Question Id : 6406532041055 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

6406536645234. ✗ Marginal utility of Food is independent of C

6406536645235. ✗ Marginal utility of Clothing is independent of F

6406536645236. ✗ Both Marginal utility of Food is independent of C & Marginal utility of Clothing is independent of F

6406536645237. ✓ None

Question Number : 11 Question Id : 6406532041056 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about the optimal bundle of Anita

Options :

6406536645238. ✖ The optimal bundle lies on X-axis

6406536645239. ✖ The optimal bundle lies on Y-axis

6406536645240. ✔ Budget line is a tangent to Anita's indifference curve at optimal bundle

6406536645241. ✖ None

Question Number : 12 Question Id : 6406532041057 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Optimal quantity of food is $F^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

12

Question Number : 13 Question Id : 6406532041058 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Optimal quantity of clothing is $C^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

5

Question Number : 14 Question Id : 6406532041059 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Utility of Anita from optimal bundle is $U(F^*, C^*) =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

72

Question Number : 15 Question Id : 6406532041060 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the marginal rate of substitution of food for clothing when utility is maximized? MRS (F for C) = _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0.5

Sub-Section Number :

5

Sub-Section Id :

640653374707

Question Shuffling Allowed :

No

Question Id : 6406532041061 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (16 to 24)

Question Label : Comprehension

The demand and supply curves in a market are

$$\begin{aligned} \text{Demand: } Q^d &= 10 - 0.5 P^d \\ \text{Supply: } Q^s &= \begin{cases} -2 + P^s, & P^s \geq 2 \\ 0, & P^s < 2 \end{cases} \end{aligned}$$

where Q^d is the quantity demanded when the price consumers pay is P^d , and Q^s is the quantity supplied when the price producers receive is P^s . Suppose the government provides a subsidy of \$3 per unit. Answer the given subquestions in this scenario.

Sub questions

Question Number : 16 Question Id : 6406532041062 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Equilibrium quantity (in millions) in the market before the subsidy $Q^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Question Number : 17 Question Id : 6406532041063 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Equilibrium price in the market before the subsidy $P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

8

Question Number : 18 Question Id : 6406532041064 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

New equilibrium quantity after the subsidy $Q^S =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

7

Question Number : 19 Question Id : 6406532041065 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Price that buyers pay now will be $P^B =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Question Number : 20 Question Id : 6406532041066 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Price that the producers receive per unit will be $P^S =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

9

Question Number : 21 Question Id : 6406532041067 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Total cost (in million \$) to the government will be _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

21

Question Number : 22 Question Id : 6406532041068 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Suppose the government acts weird and removes the subsidy to impose a excise tax of \$6 per unit to producers.

New equilibrium quantity (in Millions) after the incidence of tax $Q^t =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Question Number : 23 **Question Id :** 6406532041069 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

Suppose the government acts weird and removes the subsidy to impose a excise tax of \$6 per unit to producers.

Price that buyers pay now will be $P^B =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

12

Question Number : 24 **Question Id :** 6406532041070 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

Suppose the government acts weird and removes the subsidy to impose a excise tax of \$6 per unit to producers.

Price that seller receives per unit will be $P^S =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Sub-Section Number :

6

Sub-Section Id :

640653374708

Question Shuffling Allowed :

No

Question Id : 6406532041071 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (25 to 26)

Question Label : Comprehension

Suppose that a competitive firm's marginal cost of producing output q is given by $MC(q) = 3 + 2q$. Assume that the market price of the firm's product is ₹9.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 25 Question Id : 6406532041072 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What level of output (q) the firm will produce?

Options :

6406536645255. ✖ 2

6406536645256. ✔ 3

6406536645257. ✖ 4

6406536645258. ✖ 5

Question Number : 26 Question Id : 6406532041073 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Producer surplus of the firm is

Options :

6406536645259. ✖ 7

6406536645260. ✖ 8

6406536645261. ✔ 9

6406536645262. ✖ 6

Sub-Section Number :

7

Sub-Section Id :

640653374709

Question Shuffling Allowed :

No

Question Id : 6406532041074 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (27 to 28)

Question Label : Comprehension

Suppose that a monopsonist's only input is labor and its production function is $Q = 5L$, where L is the quantity of labor (expressed in thousands of hours per week). Suppose, too, that the monopsonist can sell all the output it wants at a market price of \$10 per unit and that the supply curve it faces for labor is $w = 2 + 2L$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 27 Question Id : 6406532041075 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 2

Question Label : Short Answer Question

How much labor (Hours of labor per week) would the monopsonist hire to maximize profit?

$L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

12000

Question Number : 28 Question Id : 6406532041076 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 2

Question Label : Short Answer Question

What wage rate (per hour) would the monopsonist pay, to maximize profit?

$w^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

26